

# ENTREPRENEURSHIP ULTIMATE STUDY GUIDE

PYQ ANALYSIS: RQPS, FGHE, WXY4Z, SET 98



## THE "GOLD MINE" - REPEATED & HIGH-WEIGHTAGE

| QUESTION TYPE                   | FREQUENCY        | WEIGHTAGE | WHAT TO PREPARE                                                                          |
|---------------------------------|------------------|-----------|------------------------------------------------------------------------------------------|
| <b>Numerical: BEP</b>           | 100% Every Paper | 5 Marks   | Practice Weighted Average Contribution Margin and BEP (units & rupees) for Sales Mix.    |
| <b>Numerical: EOQ &amp; ROI</b> | High             | 2-3 Marks | Practice EOQ formula and reverse calculation for Annual Demand. ROI/ROE calculations.    |
| <b>Growth Strategy: M&amp;A</b> | 100%             | 1-3 Marks | M&A types (Horizontal, Vertical, Conglomerate) and Acquisitions (Hostile, Reverse, etc). |
| <b>Marketing: Pricing</b>       | Very High        | 1-3 Marks | Skimming vs. Penetration vs. Cost-Plus pricing identification from case studies.         |
| <b>Finance: VC vs Angel</b>     | Very High        | 3-5 Marks | Differences and Stages of VC Financing (Seed, Start-up, Second-round).                   |



## CHAPTER-WISE EXAM STRATEGY

### Unit 1: Entrepreneurial Opportunity

- 1. Trend Spotting:** Ways to spot trends: Read, Talk, Watch, Think.
- 2. Idea Fields:** Identify sources (Natural Resources, Market-Driven, Service-Related).
- 3. PESTEL Model:** Identify macro factors (Political, Economic, Social, Technological).

### Unit 2: Entrepreneurial Planning

- 1. Business Plan Components:** Identify Marketing, Production, Organizational, or Manpower Plan.
- 2. Formats:** Difference between Elevator Pitch, Pitch Deck, and Executive Summary.

### Unit 3: Enterprise Marketing

- 1. Pricing:** Skimming vs. Penetration (Most common).
- 2. Promotion:** ATL (Mass media) vs. BTL (Direct marketing) strategies.
- 3. Distribution:** Factors affecting choice (Market related, Product related).

## Unit 4: Enterprise Growth Strategies

- 1. Franchising:** Franchise Agreement ingredients and advantages to franchisor.
- 2. M&A:** Explain "Synergy". Spot Vertical (supply chain) vs Horizontal (competitor) mergers.

## Unit 5: Business Arithmetic (Numericals)

- Unit Price = Total Billed / No. of Customers
- $EOQ = \sqrt{(2 * D * O) / C}$
- $BEP = \text{Fixed Cost} / (\text{Selling Price} - \text{Variable Cost})$
- Working Capital = Current Assets - Current Liabilities
- $ROI / ROE = (\text{Net Profit} / \text{Investment}) * 100$

## Unit 6: Resource Mobilization

- 1. Capital Markets:** Public Issue, Rights Issue, Private Placement, Offer to Employees.
- 2. Angel Investors:** Mentorship, high risk, affluent individuals.



### EXAM-ORIENTED CHECKLIST

- ☐ Numerical Prep: Can I calculate BEP for Sales mix (3 products)?
- ☐ Numerical Prep: Find Annual Demand if EOQ is given?
- ☐ Definitions: "Synergy", "Bootstrapping", "Franchise Agreement"?
- ☐ Distinctions: 3 differences between Venture Capital and Angel Investors?
- ☐ Strategies: Identify Skimming vs. Penetration Pricing in case studies?
- ☐ Strategies: Distinguish Horizontal vs. Vertical mergers?
- ☐ Trend Spotting: List Read, Talk, Watch, Think?

**Pro-Tip:** In the 5-mark BEP numerical, always show the formula, then Contribution Margin calculation, then the Weighted Average step. Steps carry marks even if the result is wrong!